THE FIRST GLOBALIZATION

ALFANI-COLLI, CH. 9.1-9.2

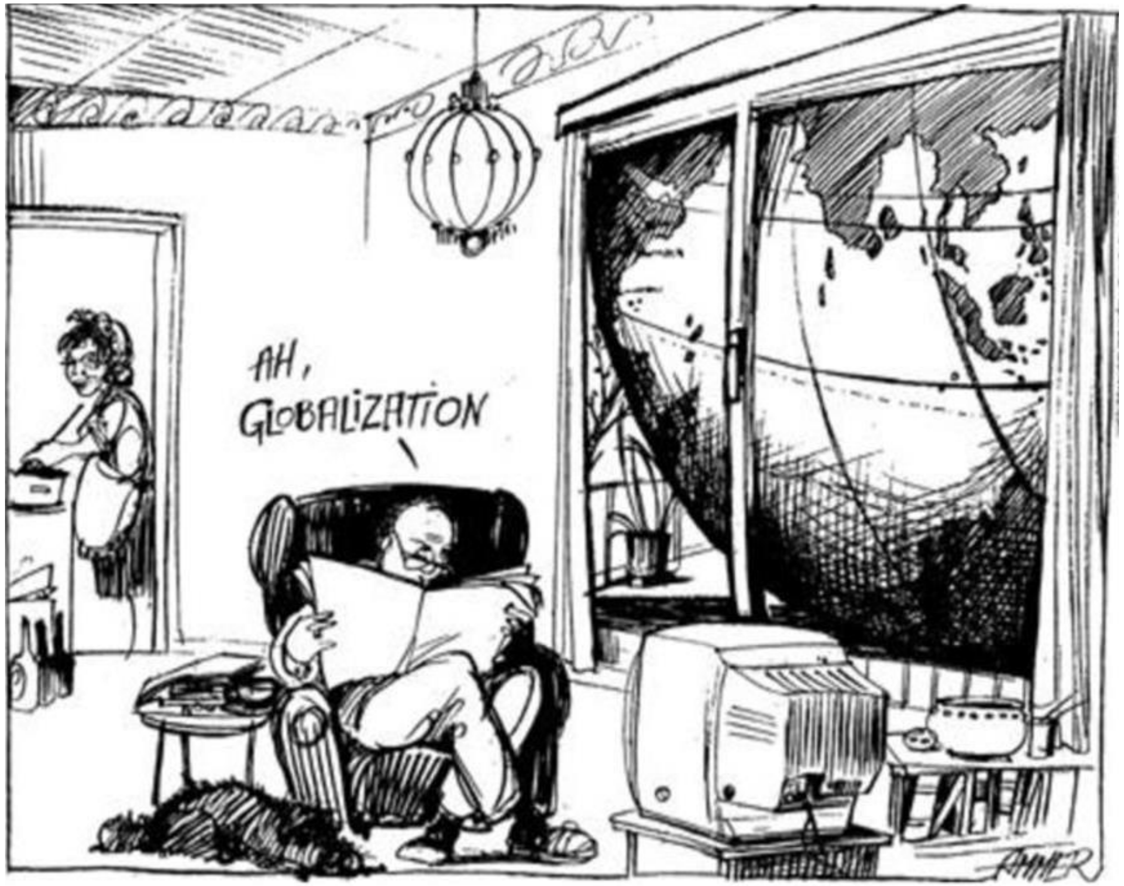
Economic History 30067
Ay 2025/2026
Sonia Schifano

IN THIS EPISODE

- How to define globalization?

- The four pillars of globalization:
    - economic integration
    - transport and communication
    - trade policies
    - gold standard

- Globalization and migrations
- Globalization and imperialism



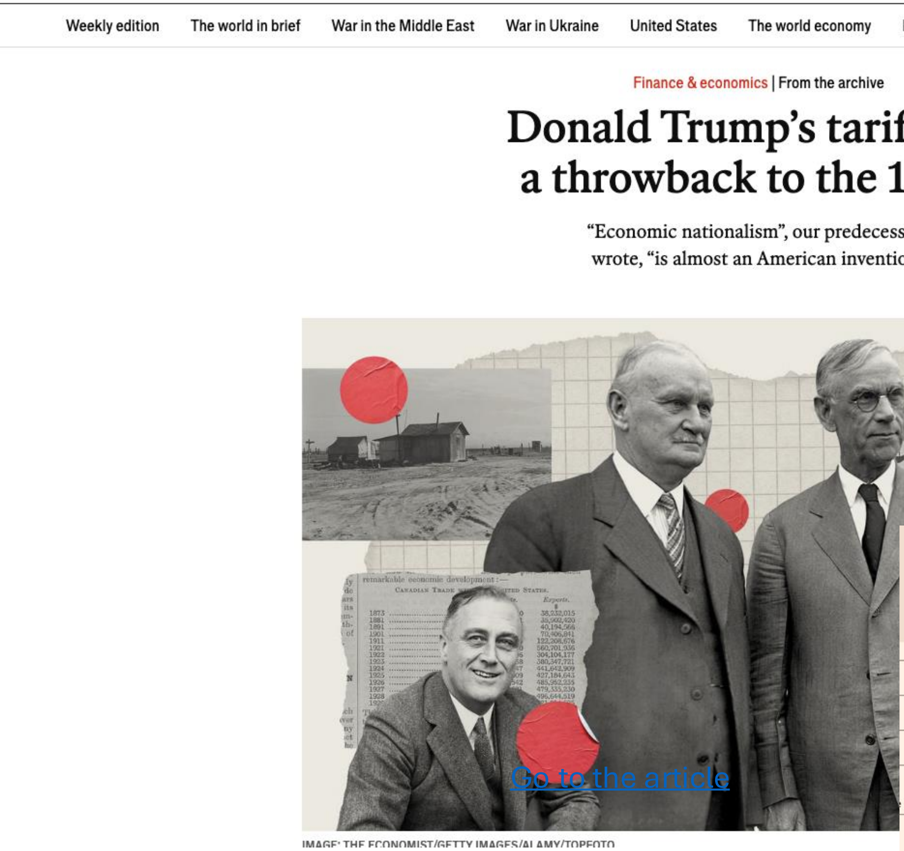
DEFINITION

- Globalization could be defined as a process of political, economic, social, and cultural integration characterised by the rapid and easy transfer of goods (international trade), capital (international investments), knowledge, and people (migration)

- It is not a spontaneous process, it is based on
    - Technology
    - Political choices

!!! It is a reversable process !!!

HOW IS DEGLOBALIZATION POSSIBLE?



Read more:

«The European Union seems an unorthodox champion of free trade. Beyond a few purveyors of handbags and slimming drugs, few of its big companies compete successfully with rivals from America and China, the world's two biggest economies.»

GLOBALIZATION

How to define **globalization**

Distinction between two kind of globalization:

- **Soft** globalization: when the Old World became directly connected with the Americas in 1571 via Manila (Flinn, Giráldez 2004)

- **Hard** globalization: integration of markets across space during the nineteenth century (O'Rourke, Williamson 2004)

SOFT OR PROTO GLOBALIZATION

- The opening up of the World
  - Silk Road
  - More connections with respect to Africa, America, Asia
- This resulted in more
  - Trades and connection
  - Exchanges of ideas and food
    - Printing
    - E.g. Potatoes (considered as easy bread) arrived in Europe and Asia being able to sustain population growth
  - Mobility of production factors (especially labour)

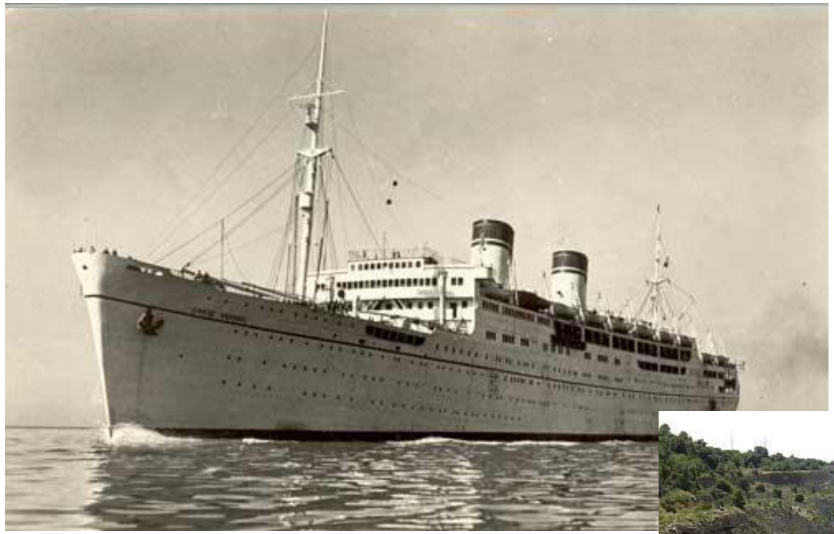
→Failed to accelerate because of the lack of interaction and technology

→Slow transportation

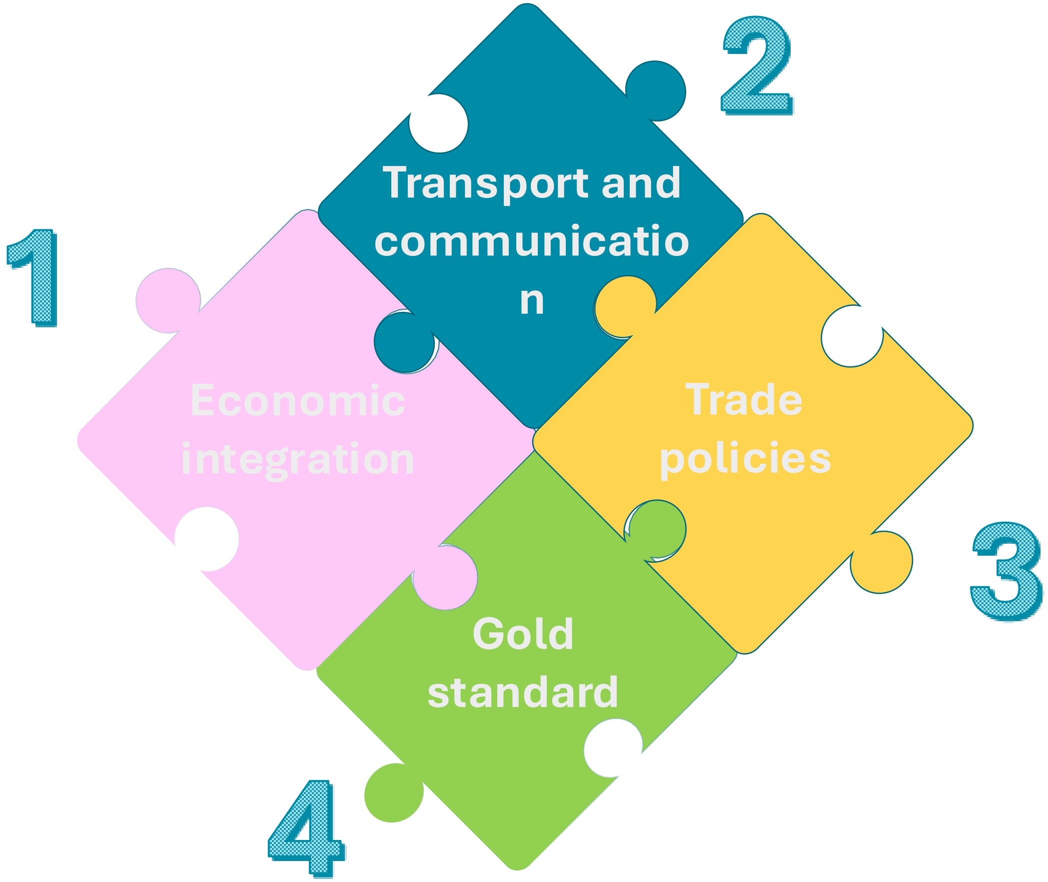
→High transportation costs

HARD OR FIRST GLOBALIZATION 1850-1914

- Industrial Revolution
    - Cheap production of household items
- Rapid population growth
    - sustained demand for commodities
- Transportation costs reduced
    - People and goods travelled faster
- Communication increased and became faster
- International capital market and foreign exchange market
    - Stock Exchanges of London, Paris, Amsterdam, Frankfurt



FIRT GLOBALIZATION 1850-1914



1 – ECONOMIC INTEGRATION

Globalization means price convergence

NB: convergence only occurs when there is market integration. Where there are high tariff barriers, prices do not converge

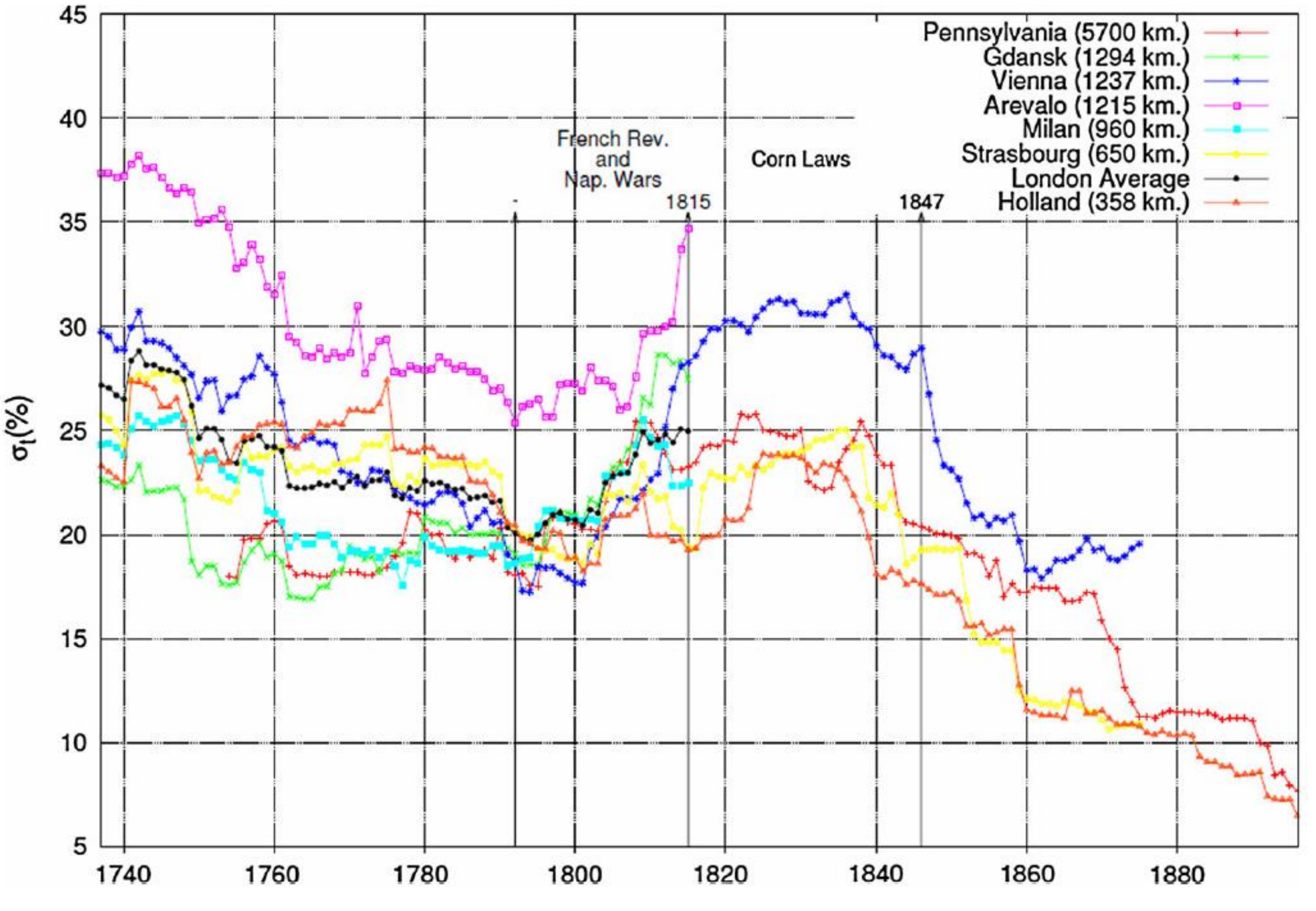


Fig. 1 Market integration in the West (London as *numéraire*), 1737–1896. *Source* Dobado et al. (2012)

1 – ECONOMIC INTEGRATION

In a globalized world, price fluctuations propagate more rapidly.

- In pre-industrial economies, price fluctuations were influenced by local or regional phenomena, often caused by "natural" factors such as droughts, famines, or floods, which had repercussions on crop yields or the supply of precious metals (commodity money).

- With industrialization, fluctuations increasingly became linked to the "state of trade" and demand fluctuations. In other words, as the economy integrated, price fluctuations took on a more cyclic nature.

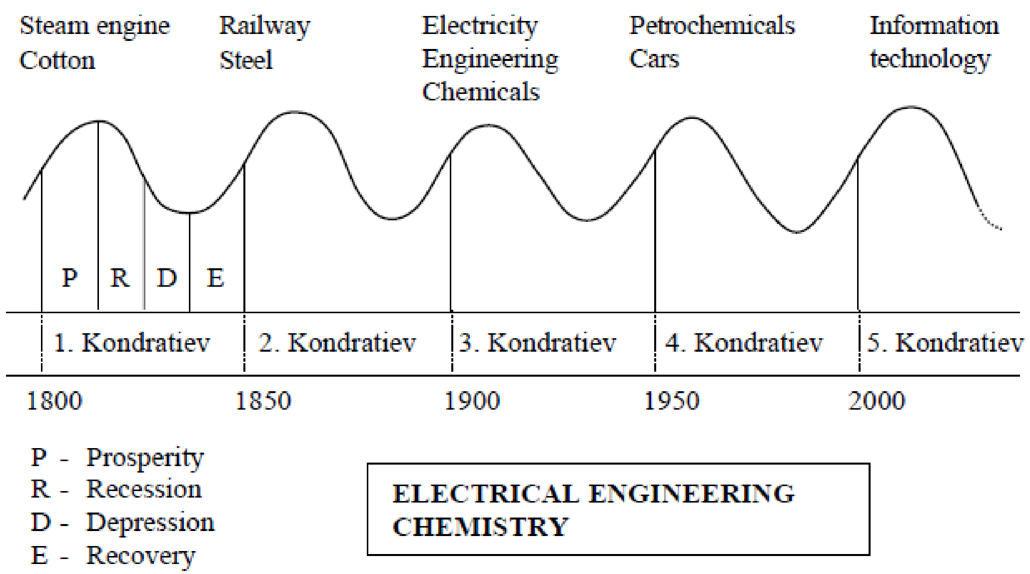
→Synchronization of various national economies →Crisis become systemic

→Convergence of prices (law of one price)

→Increase in international mobility of goods, labour, and capital

1 – ECONOMIC INTEGRATION

Figure 9.1. Kondratiev waves: graph showing world economic cycles (1800-2000)



1 – ECONOMIC INTEGRATION

In addition to the movement of goods, the movement of capital was fundamental for the international market integration.

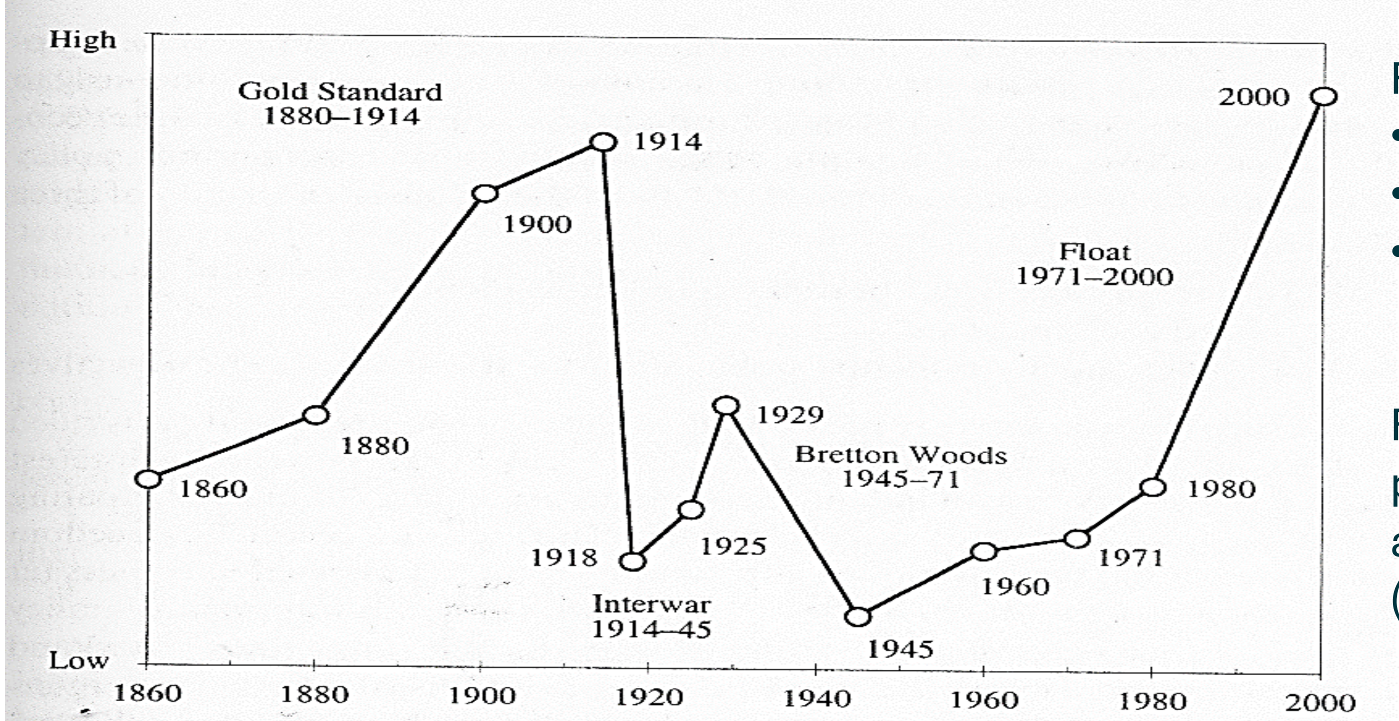


Fig. 3.1 **Conjecture? A stylized view of capital mobility in modern history**

Factors

- prolonged period of peace
- gold standard
- presence of raw materials in target countries

Forms of international capital flows: portfolio investments (purchase of stocks and bonds) foreign direct investments (FDI, i.e., multinational corporations)

1 – ECONOMIC INTEGRATION

- Capital export is based on gold or foreign exchange
- Main reason: The expectation of a higher rate of return abroad than at home
- Some actors: markets for foreign exchange, stock and bond markets, central banks, private and join-stock investment banks
    - They all increased during the 19th century

- The period 1896-1914 has been labeled "The Golden Age of Global Capitalism" (Frieden, Global Capitalism, 2006)

https://www.youtube.com/watch?v=NiZI7YnAhp8

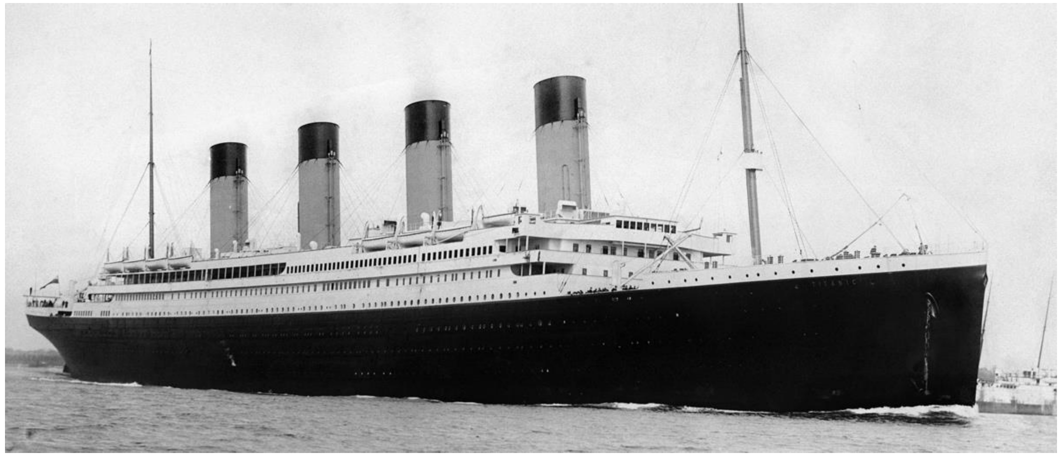
2 – TRANSPORT AND COMMUNICATION

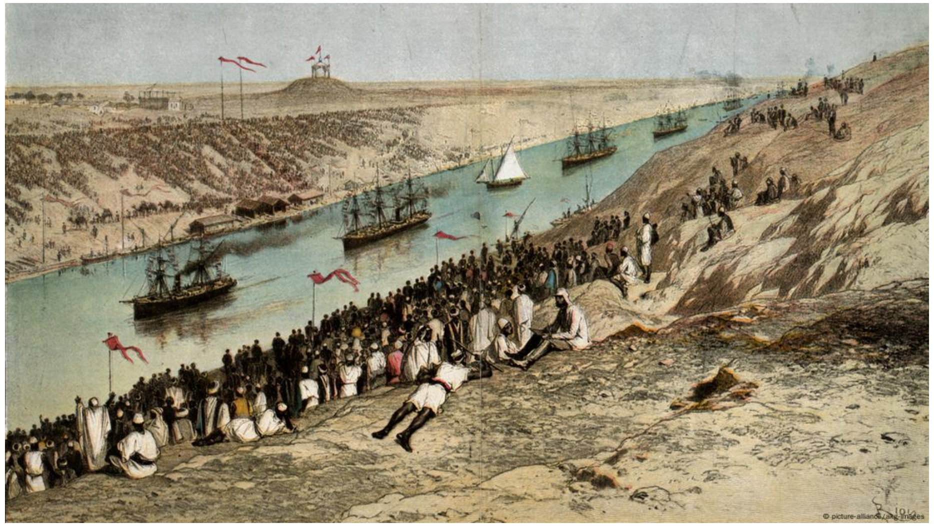
Gross railway mileage in Europe and the United States

	1840	1860	1880	1900
Austria-Hungary	144	4,543	18,507	36,330
Belgium	334	1,730	4,112	4,591
France	496	9,167	23,089	38,109
Germany	469	11,089	33,838	51,678
Great Britain	2,390	14,603	25,060	30,079
Italy	20	2,404	9,290	16,429
Netherlands	17	335	1,846	2,776
Russia	27	1,626	22,865	53,234
Spain	-	1,917	7,490	13,214
Sweden	-	527	5,876	11,303
United States	2,755	30,636	93,671	193,321

2 – TRANSPORT AND COMMUNICATION

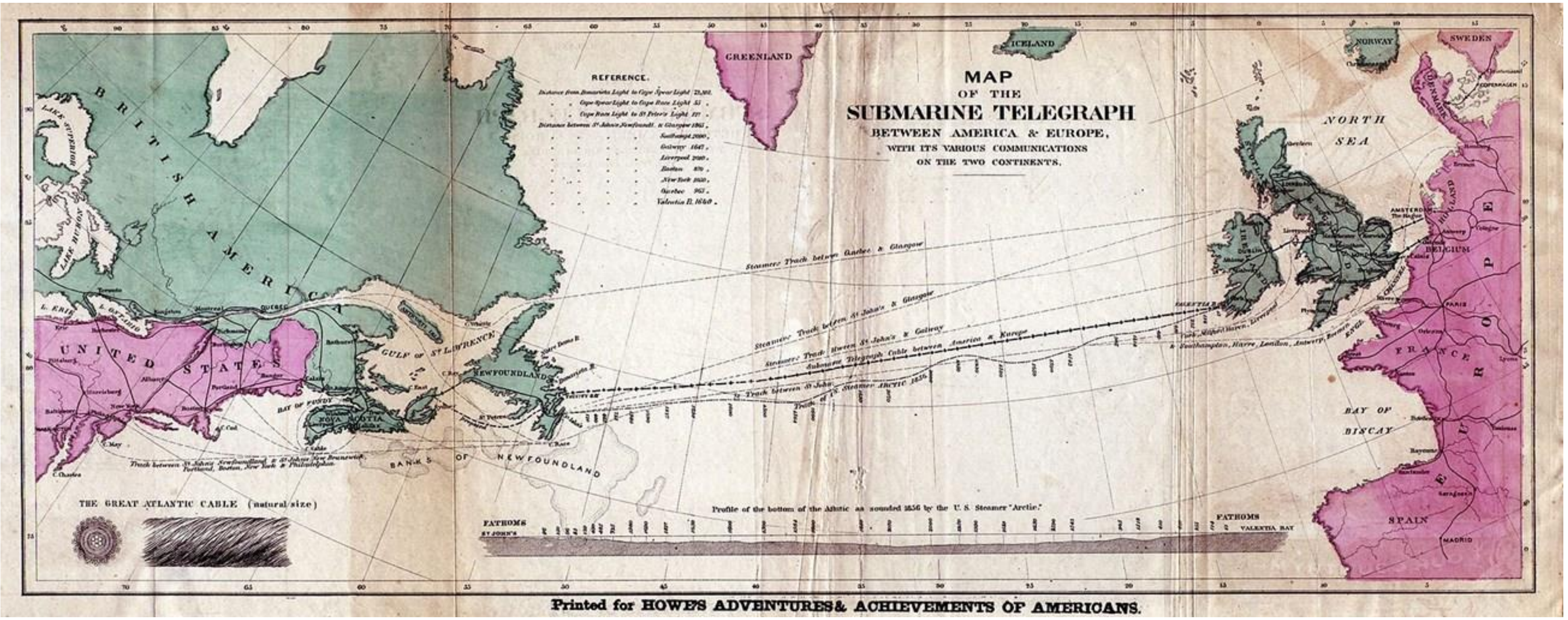
- The intensification of trade and financial flows was made possible by a (further) **revolution in transport and communications**:
    - Trains and steam navigation
    - Suez Canal (1859-69) and Panama Canal (1881)
- The main consequences were:
    - The decline in transport costs
    - The creation of a national (and later international) market served quickly, extensively, and reliably





2 – TRANSPORT AND COMMUNICATION

- Telegraph (1840)
- Transatlantic cables (1860)
- Telephone (1870)



«It is a more glorious triumph, because it is much more useful to humanity, than anything everwon on the battlefield. May the Atlantic Telegraph, under the blessing of heaven, prove a bond of perpetual peace and friendship between kindred nations, and an instrument destined by Divine Providence to spread religion, civilization, liberty and law throughout the world»

Queen Vittoria 1858 (celebration of the first transatlantic cable)

“The inhabitant of London could order by telephone, sipping his morning tea in bed, the various products of the whole Earth, in such quantity as he might see fit, and reasonably expect their early delivery upon his doorstep.”

John Maynard Keynes (1883-1946)

3 – TRADE POLICIES

We have seen that many Countries relied upon protectionist measures during the 19th century, but...

- David Ricardo, *On the Principles of Political Economy and taxation* (1819)
- Adam Smith, *The Wealth of Nations* (1776)
- John Stuart Mill, *Principles of political economy* (1848)

In these works, the authors advocated the beneficial effects of

- the law of comparative advantage
- division of labour (including international division of labour)
- the functioning of a market free from any form of artificial barriers.

All of this would lead to an optimal allocation of resources

→ THESE THEORIES RESTED ON PURE LOGICAL GROUND

3 – TRADE POLICIES

- Different phases of English trade policies

  - England used mercantilism first and then protectionism

  - And (as anticipated last week) only from the mid-19^{th} century moved to FREE TRADE policies

HOW and WHY?

3 – TRADE POLICIES

- The best known protectionist measures of the early 19th century are certainly the English Corn Laws, in force from 1815 to 1846.

- In England, already in the early 1800s, some groups were urging the government to adopt liberal measures. The liberal front strengthened in 1839 with the establishment of the **Anti-Corn Law League**.

- During the Napoleonic wars, due to the continental blockade, agriculture had become extremely profitable. Unsurprisingly, in order not to lose a lucrative source of income, the large landowners, well represented in Parliament, fought to keep these laws in order.


The Economist,
WEEKLY COMMERCIAL TIMES,
Bankers' Gazette, & Railway Monitor.
A POLITICAL, LITERARY, AND GENERAL NEWSPAPER.

Vol. IV. SATURDAY, MAY 16, 1846. No. 142.

CONTENTS.

THE POLITICAL ECONOMIST.

THE CORN LAWS REPEALED BY THE HOUSE OF COMMONS.

3 – TRADE POLICIES

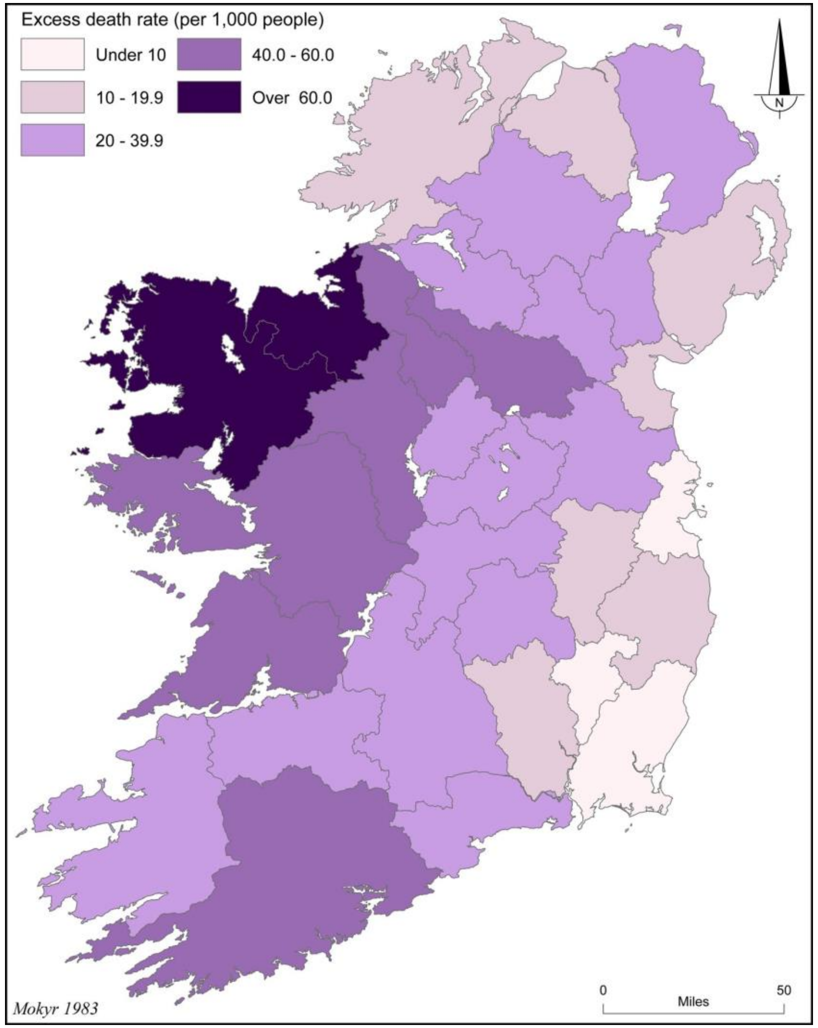
- The decisive blow that led to the repeal of the Corn Laws was the terrible famine in Ireland in 1845.

→ The famine was so severe that the government within months voted to repeal the Corn Laws.

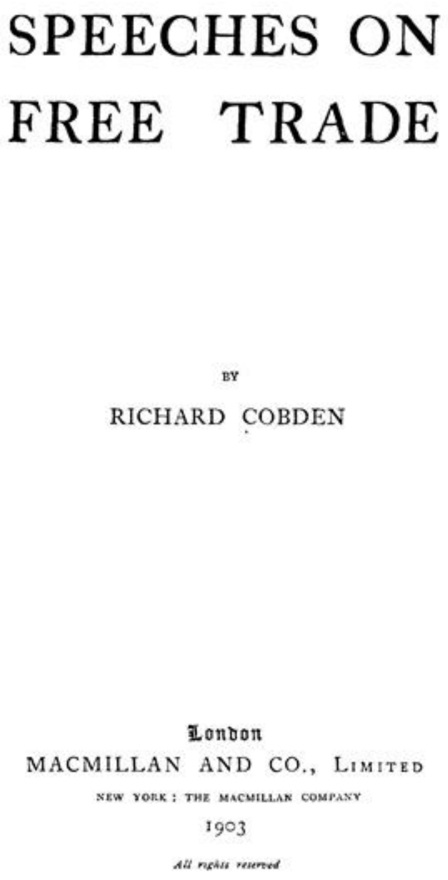
- The corn laws were repealed in 1846, and in 1849, the Navigation Acts were also repealed.

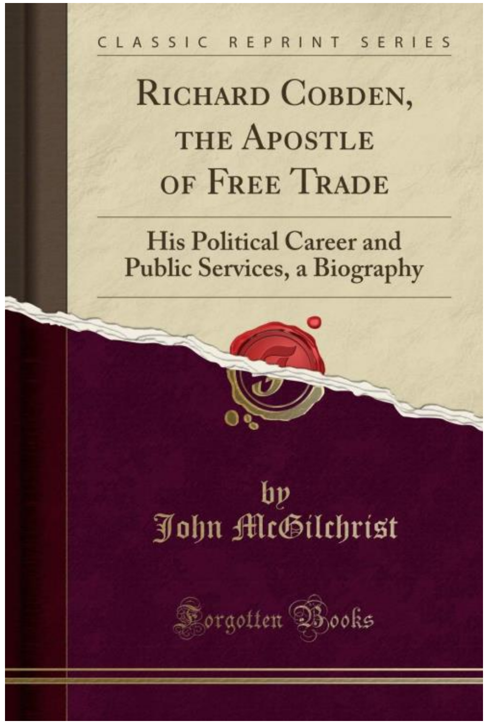
- The growth in trade was such that, despite an overall reduction in tariffs, customs revenues in 1860 were higher than those in 1842.

- **In the second half of the 19th century began for Great Britain a phase of intransigent free trade policy.**



3 – TRADE POLICIES





«Free trade is a principle which recognizes the paramount importance of individual action.

Peace will come to earth when the people have more to do with each other and governments less.

[We] advocated Free Trade, not merely on account of the material wealth which it would bring to the community, but for the far loftier motive of securing permanent peace between nations»

3 – TRADE POLICIES

- Cobden, a leader of the anti-Corn Laws struggle, was also the advocate of the **Anglo-French Treaty of 1860 (or Cobden-Chevalier Treaty), a milestone of free-trade policies.**

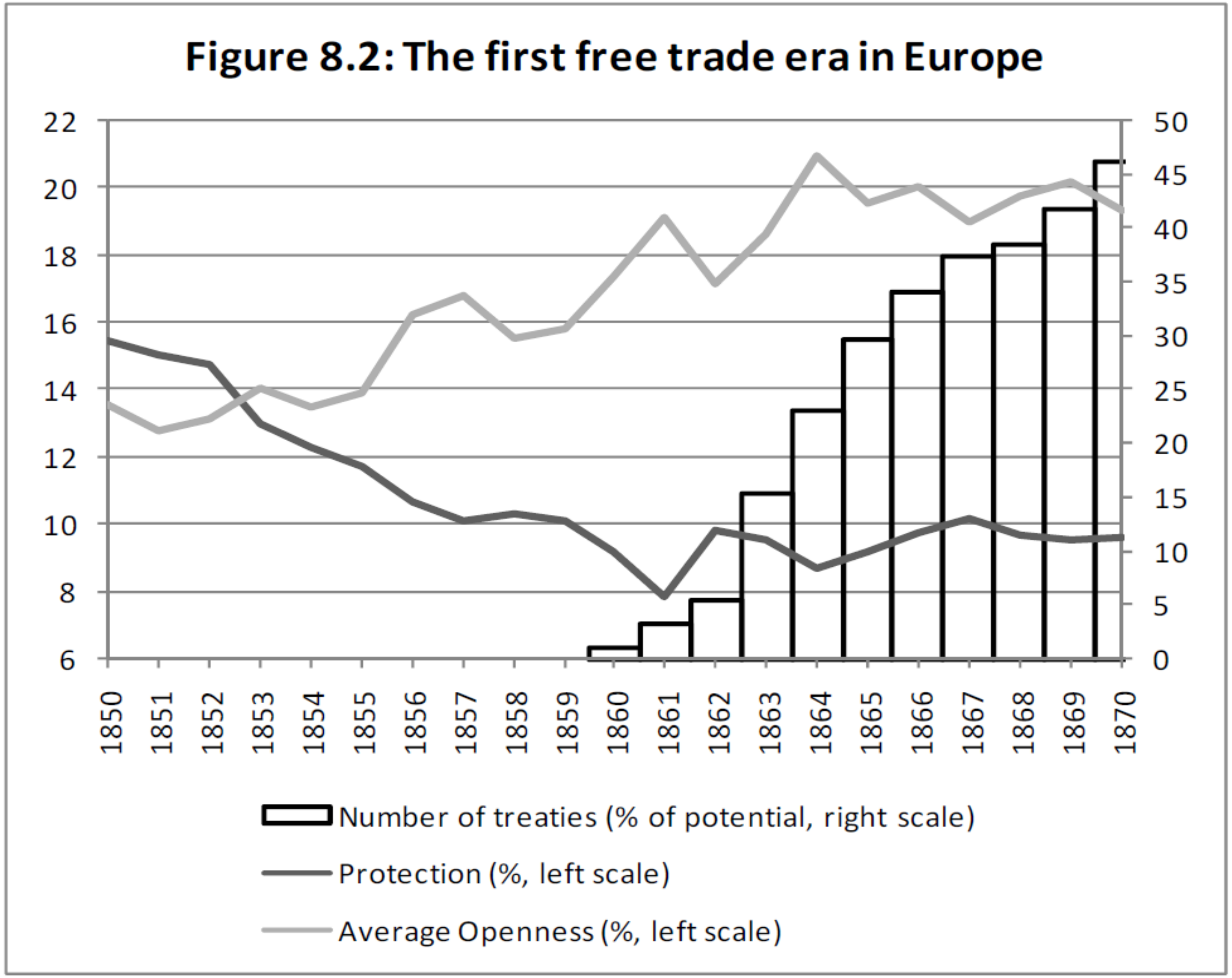
- Traditionally devoted to protectionism, with Napoleon III's rise to power in 1851, France radically changed its political-economic attitude.

- Fundamental was the Emperor's desire to gain political and diplomatic credit for France after particularly turbulent decades for the hexagon.

3 – TRADE POLICIES

- The Cobden-Chevalier Treaty provided that:
    - France would lift the restrictions on English goods, but establish duties
        - These were in any case not to exceed 30% of the value of the goods
    - Great Britain eliminated any form of duty on manufactured goods
    - On foodstuffs, duties were instead greatly reduced

- But fundamental to this treaty is the **most-favoured-nation** clause:
    - the two contracting states undertake to grant each other the most favourable trade and tax treatment, compared to what has been agreed in the past and what will be agreed in the future with other states.
- **International trade increased** by 10% per year (both within and outside Europe)
- **Competition increased** and more efficiency was demanded



The MFN clause gave rise to a practically multilateral international trading system.

Another feature of these treaties: they were long-lasting and therefore offered a stable institutional framework for trade.

3 – TRADE POLICIES - THE GREAT DEFLATION

The phase of industrial and commercial expansion came to a halt in the late 19th century, between the 1870s and early 1890s: → **the Great Deflation**

In Europe, the Great Deflation had its origins in the 1870s in the real estate sector. In the USA it was the banks exposed in the railway sector that were hardest hit.

Different explanations:

1. The increasing international **competition** resulting from international treaties.

2. **Overproduction**.

3. A large-scale influx of **non-European primary goods** into European markets due to lower prices and declining transportation costs.

Competition was blamed for this! → The obvious demand was for more protection from external competition, and thus a return to protectionist policies.

3 – TRADE POLICIES - THE GREAT DEFLATION

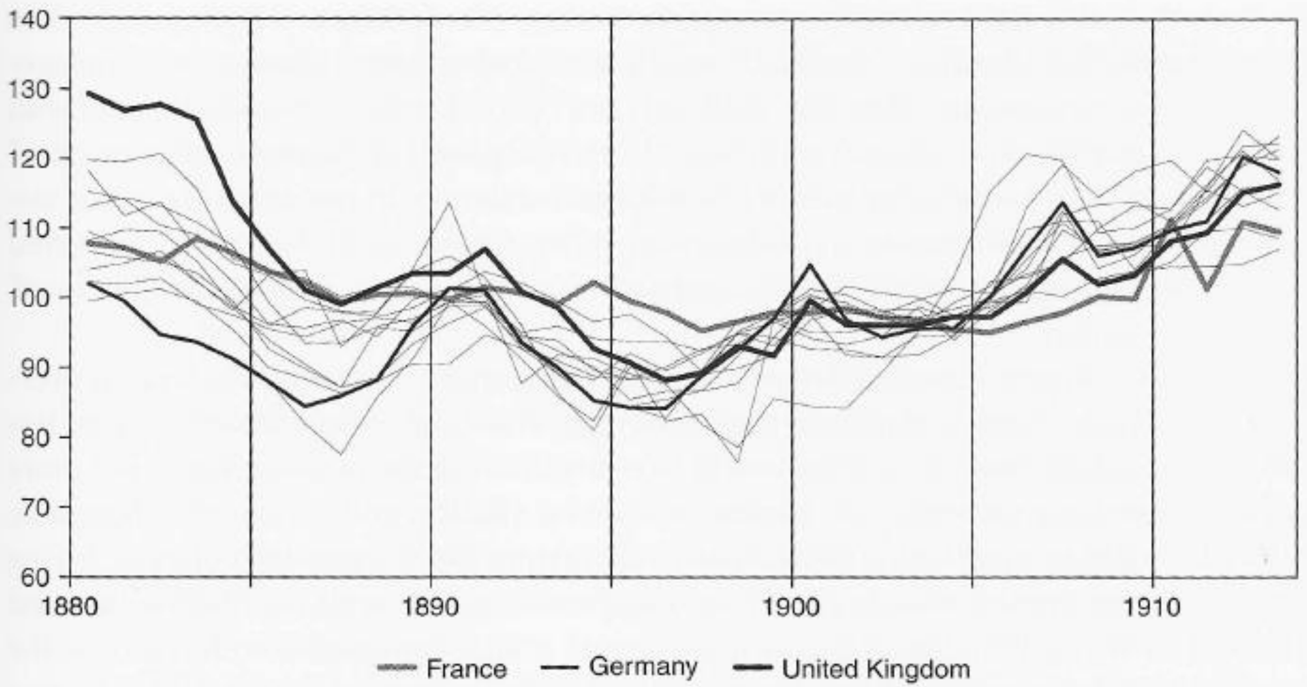


Figure 4.1 Price levels (1890–1913 = 100). Fifteen countries, exchange rate adjusted. *Note:* price levels in national currencies converted at FF exchange rate. Countries included are Austria–Hungary, Belgium, Denmark, Italy, Netherlands, Norway, Portugal, Russia, Spain, Sweden and Switzerland. France, Germany and the United Kingdom are tagged in the graph. *Source:* authors' calculation based on Flandreau and Zumer (2004).

3 – TRADE POLICIES - PROTECTIONIST THEORIES

Protectionist positions, like liberal ones, had their theoretical formulations. Among the most important texts are:

- "Report on the Subject of Manufacturers" by Alexander Hamilton, 1791.
- "Das nationale System der politischen Oekonomie" by Friedrich List, 1837.

Both authors contested liberalism and justified the adoption of protectionism based on a nation's level of development.

Even John Stuart Mill supported List's theories and accepted protectionism under certain conditions:

- Protection should be only temporary.
- Protection can be granted to a "young and emerging nation" with the goal of "naturalizing thriving industries abroad but compatible with internal resources and productive vocations.

3 – TRADE POLICIES – PROTECTIONIST THEORIES

According to Friedrich List's vision:

- Liberalism was not an economic law but **a tool of dominance** by industrial powers over less developed countries.
- **Free trade could not be universally valid**; it had to be applied while considering a nation's level of economic development.
- Protectionism was the **means to become an industrialized nation**.
- The state was the sole entity capable of **organizing economic policies** consistent with the project of industrialization.

List justified protectionism, but only for the time necessary to strengthen the emerging industry.

3 – TRADE POLICIES - PROTECTIONISM

- Bismarck approved a new tariff law in 1879 introducing protectionism for both industry and agriculture
- France followed Germany in the introduction of industrial protectionism in 1881 and agricultural protectionist tariffs in 1892
- Italy, Austria-Hungary, Russia were also in the protectionism bloc

- Great Britain, the Netherlands, Belgium, Denmark were part of the free trade bloc

However, we should not think that the return to protectionism led to a crisis or stagnation of international trade.

FIGURE 11–2. Index of the annual volume of exports of European countries (1899–1901 = 100). (From *Commerce extérieur et développement économique de l'Europe au XIX siècle*, by Paul Bairoch, Paris, 1978.)

https://www.wto.org/english/thewto_e/whatis_e/tif_e/fact2_e.htm

4 – GOLD STANDARD

The development of trade and commerce made the adoption of a more solid monetary system urgent.

The English monetary system imposed itself because of the importance of:

- English goods in world trade
- English capital in international flows
- Pound as an international payment instrument
- English banks around the world

4 – GOLD STANDARD

The system had gold as its base and was based on the following principles:

- the Bank of England had to convert banknotes into gold at sight
- there were no restrictions on the buying, selling and exporting of gold (= freedom of capital movement)
- the exchange rate between the unit of account (pound sterling) and gold was fixed (gold parity).

Between 1870 and 1900, most of the industrialised countries (or those on the path to industrialisation) adhered to the gold standard:

4 – GOLD STANDARD

- Germany in 1871
  - Also thanks to the indemnity of 5 billion francs extracted from the victory in the Franco-Prussia War
  - Introduced the gold mark
  - The Reichbank established as central bank and sole issuing agency

- The Netherlands, Switzerland and Belgium adhered between 1873 and 1878;
- France and Italy began to use the gold standard from the 1880s but remained under bimetallism;
- Russia and Japan in the last decade of the century;
- The United States in 1900.

4 – GOLD STANDARD

- **Under a gold standard the money supply is determined by (and in some cases consists partially or entirely of) the monetary gold stock**
  - Unlike a fiat standard, under a gold standard, monetary authorities have considerably less flexibility to deal with shocks

- Under a gold standard the **monetary authority defines the weight of gold coins** or, alternatively, fixes the price of gold in terms of national currency.

- By being willing to buy and sell gold freely at the mint price, the authority **maintains the fixed price**.

- There are **no restrictions to the ownership or use of gold**

=

=

1 US dollar

2 GB pounds

4 – GOLD STANDARD

- In this system, exchange rates were fixed. For instance, 1 GB pound was exchanged with:

- 4,85 US Dollars
- 12,10 Dutch Guilder
- 26,28 French Francs
- 20,43 German Marks
- …

- The risk associated to international trades was eliminated

→ the g.s contributed to increase trades and capital investment abroad !!!

1

Gold reserves

Money supply

Increase in gold reserves → incresase of money supply

2

Gold reserves

Money supply

Decrease of gold reserves → decrease of money supply

?

Gold reserves depended on trade balance of payments!

Gold reserves

4 – GOLD STANDARD:REBALANCING SYSTEM

Why was the Gold Standard considered an (almost) automatic exchange rate rebalancing system?

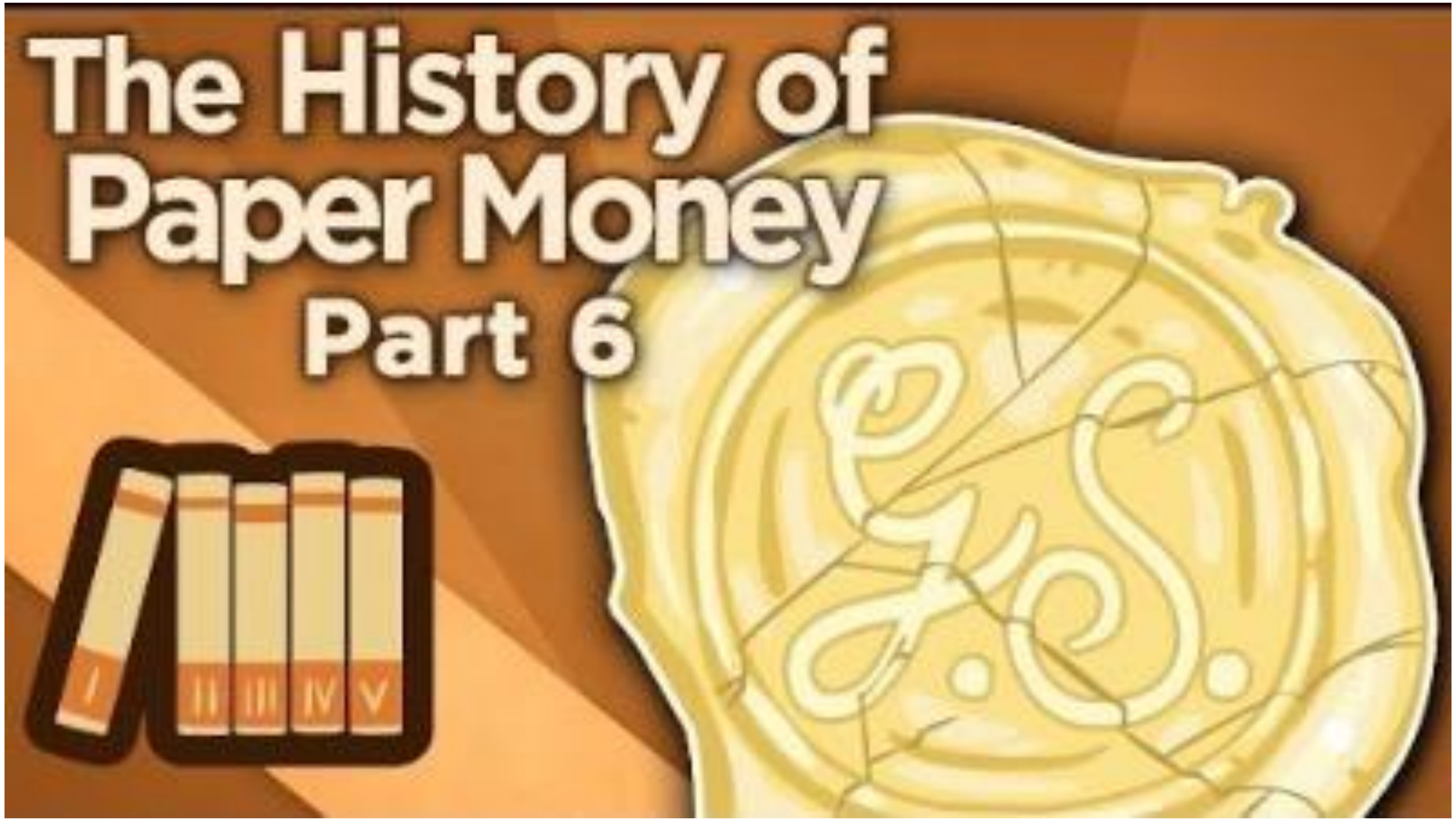
- In countries adhering to the Gold Standard, the supply of money depended on gold reserves, which, in turn, depended on the balance of payments.

The Gold Standard provided a mechanism for adjusting imbalances in the balance of payments.

Example:

- t=1: The UK has a trade surplus (exports > imports) ⟶ accumulation of gold (inflows > outflows).
- t=2: The inflow of gold increases the money supply in the UK ⟶ price increase.
- t=3: Price increase ⟶ less competitiveness of UK goods in foreign markets ⟶ decrease in foreign demand (exports).
- t=4: Decrease in exports results in a decrease in prices and a return to competitiveness ⟶ the UK's trade surplus is eliminated.

4 – GOLD STANDARD



4 – GOLD STANDARD

The Gold Standard lasted for about 40 years because it ensured price stability over the long term and similar price movements among participating countries:

- Price levels in all countries were determined by the supply and demand for gold, and no single country exerted a decisive influence on price levels

  → **symmetry**

- Firm expectations of fixed exchange rates meant that speculation helped to rebalance the system

  → **confidence**

- Deviations from the Gold Standard were nonetheless followed by a return to parity

  →**commitment**

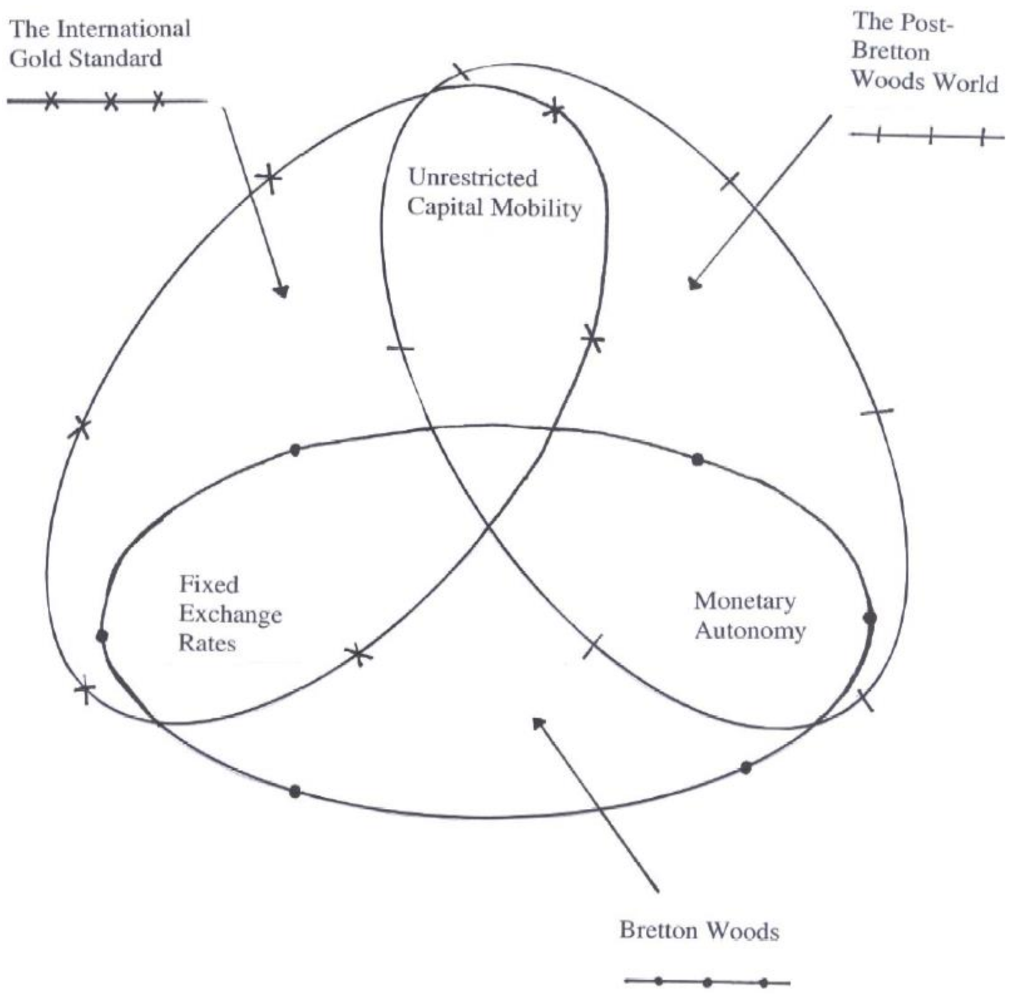
Economic policy was subordinate to external objectives:

- Before the Great War, internal economic policy objectives (such as combating unemployment) were not on the governments' agenda."

4 – GOLD STANDARD

Monetary policy can only pursue two objectives at a time [Obstfeld & Taylor, 2004].

- Fixed exchange rates are compatible with independent monetary policy only if capital mobility is restricted.
- Fixed rates and free capital mobility imply a relinquishment of monetary policy autonomy.
- Monetary policy autonomy and free capital mobility can coexist only by giving up fixed exchange rates.



4 – GOLD STANDARD - RISKS

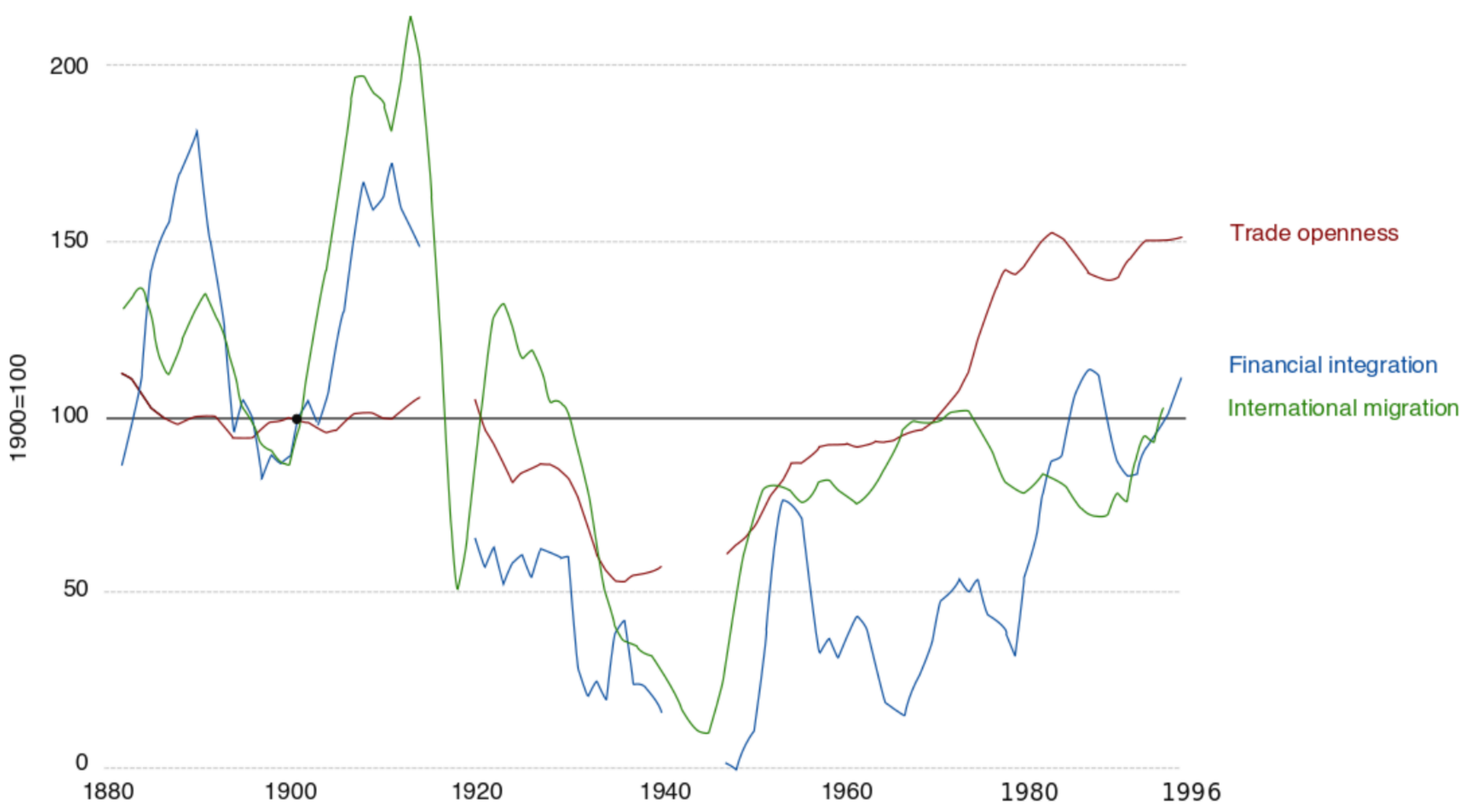
1. **Different experience of core and peripheral countries.**
   - Though the former generally experienced smooth adjustment, the latter, in the face of periodic supply shocks, experienced balance of payments crises and recessions.
2. **Transmission of the business cycle and financial crises**
   - Through the fixed exchange rate gold standard;
3. **The high resource costs** of basing the monetary system on gold
4. **Inadequate gold supplies to prevent long-run deflation**
5. **Periodic swings in the world price level**
   - Produced by shocks to the demand (new countries joining the gold standard) and supply (gold discoveries)
6. **Violation of the rules of the game; and lack of cooperation.**

4 – GOLD STANDARD

- In the 1920s price stability, exchange rate stability, and international harmony.
  - Exchange rate stability, it was hoped, would restore stabilizing capital flows.
- In the 1940s, exchange rate stability was expected to foster the growth of trade and harmony.
- In the 1960s, emphasis was placed on the automatic and symmetric features of the adjustment mechanism.
- In the 1980s, low inflation and the discipline provided by gold as the nominal anchor were the essential attractions of the gold standard.

Migration, financial integration and trade openness, World, 1880-1996

This chart shows the evolution of three indicators measuring integration in commodity, labor, and capital markets over the long run.
All indicators are indexed, so that 1900 =100.



Note: Commodity market integration is measured by computing the ratio of goods exports to GDP. Labor market integration is measured by dividing the migratory turnover by population. Financial integration is measured using Feldstein–Horioka estimators of current account disconnectedness.
Source: Broadberry and O'Rouke (2010), The Cambridge Economic History of Modern Europe: Volume 2, 1870 to the Present. Cambridge University Press

GLOBALIZATION AND MIGRATIONS

The increased flow of goods and capitals moving from one side of the globe to the other was followed by the increased flow of people.

- Main emigration countries: UK and Italy

Population grew by 243% during the beginning of the 19th century and the WWI

Cause:

- **Decreasing mortality rate**
  - Infrequency of famines and epidemics
- Maintenance of the high birth rate

→Demographic transition

Effect:

- Labour Market Congestion

GLOBALIZATION AND MIGRATIONS

- **Helping factors**
  - Technological
    - Revolution in sea-going transport = iron passengers ships
  - Social
    - Migration network = sharing information, hospitality
  - Legislative
    - Removal of barriers allowed people to freely circulate

GLOBALIZATION AND MIGRATIONS

- **Consequences**

Migrations had beneficial effects both for the countries of departure and of destination:

- the **wage** decrease in the former and the increase in the latter is slowed down
- the **demographic pressure** in the emigration countries is relieved
- the remittances favour the balance of payments of the emigration countries and allow an increase in the purchasing power of families by **supporting the domestic market**

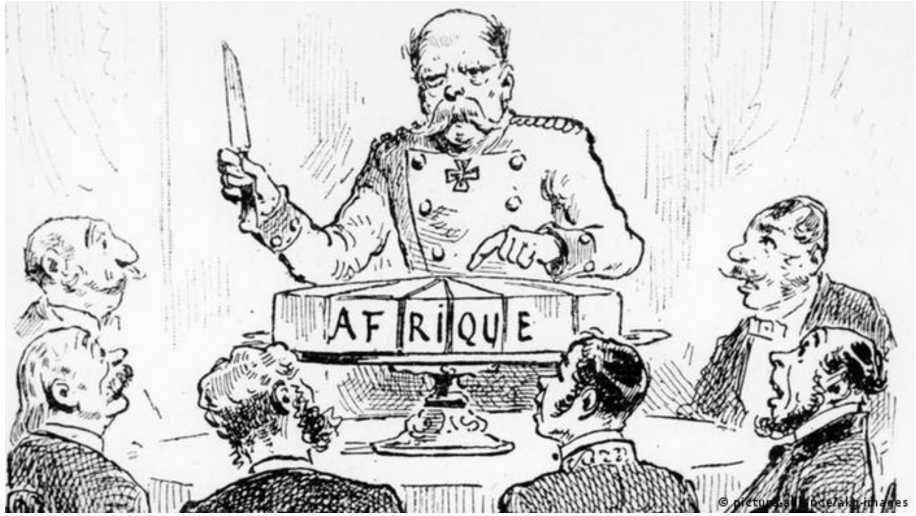
The outcome was the formation of an international labour market.


Judge
RIFF RAFF IMMIGRATION
DANGER TO AMERICAN IDEAS AND INSTITUTIONS
LIBERTY
ANARCHIST
PAUPER
ILLITERATE
MAFIA
OUTLAW
Dalrymple.
THE HIGH TIDE OF IMMIGRATION—A NATIONAL MENACE.
Immigration statistics for the past year show that the influx of foreigners was the greatest in our history, and also that the hard-working peasants are now being supplanted by the criminals and outlaws of all Europe.


VOL. 23 NO. 572.
OCTOBER 1 1892.
PRICE 10 CENTS.
Judge
PROHIBITIVE RESTRICTION OF IMMIGRATION
A DEMAND FOR DOUBLE PROTECTION.
AMERICAN WORKINGMAN—"Now you have that gate shut, keep it shut! It is a good thing to protect me against t
competition of European pauper labor; but why not also protect me against the millions of pauper laborers who are swarming here? We want no more immigration. Give me double protection!"

GLOBALIZATION AS VICTORY OF THE WEST

GLOBALIZATION AND IMPERIALISM



Moreover, this wave of globalization was characterised by a new imperialist wave.

The explanations that have been given for this phenomenon are manifold:

- **search for markets to supply raw materials**, for an outlet for industrial production, for an outlet for demographic surpluses
- transformation of the enterprise and the nature of competition: enterprises are becoming increasingly **multinational**
- need to **invest surplus capital**

There are also political and ideological explanations: imperialism was seen as a founding element of national identity, a demonstration of European (but not only) power and superiority.

THE SCRAMBLE FOR AFRICA